Options Trading Guide

A Practical Guide for Stock Investors

Fidelity Options Tier 1 | Cash-Secured Puts | Covered Calls | Wheel Strategy

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Chapter 1: The Nature of Options

1.1 Options in One Sentence

An option is like insurance. You pay a fee (premium) to get the RIGHT to buy or sell a stock at an agreed price by a certain date.

1.2 The Four Basic Roles

	Call (Bullish)	Put (Bearish)
Buyer (Long)	Pay premium, RIGHT to BUY	Pay premium, RIGHT to SELL
Seller (Short)	Collect premium, OBLIGATION to SELL	Collect premium, OBLIGATION to BUY

Key: Buyers have rights. Sellers have obligations.

1.3 Key Terms

Term	Meaning	Example
Strike Price	Agreed buy/sell price	AVGO $300 Put -> strike = $300
Expiration	Date option expires	2026-03-21
Premium	Price of the option	$5.00/share = $500/contract
Contract	1 contract = 100 shares	Buy 1 call = control 100 shares
ITM (In The Money)	Option has intrinsic value	$340 stock, $300 call = ITM
ATM (At The Money)	Strike ~ current price	$340 stock, $340 strike
OTM (Out of Money)	No intrinsic value	$340 stock, $380 call = OTM

1.4 Option Price = Intrinsic Value + Time Value

Intrinsic Value: How much profit if exercised NOW.
- Call: max(Stock Price - Strike, 0)
- Put: max(Strike - Stock Price, 0)

Time Value: Premium for the POSSIBILITY of future movement. Decays over time.

Example: AVGO at $340
$300 Call: Intrinsic = $40. If premium = $45, time value = $5
$300 Put: Intrinsic = $0 (OTM). If premium = $3, ALL time value

Chapter 2: The Greeks

Greeks measure how sensitive an option's price is to various factors. You don't need to memorize formulas - just understand the intuition.

2.1 Delta - Direction Sensitivity

How much does the option price change when the stock moves $1?

Delta Value	Meaning
Call: +0.50	Stock up $1 -> option up $0.50
Put: -0.30	Stock up $1 -> option down $0.30
Deep ITM: ~1.0	Option moves nearly 1:1 with stock
Deep OTM: ~0	Stock movement barely affects option

TIP: Delta ~ probability of expiring ITM. A put with delta -0.30 has ~30% chance of being assigned.

2.2 Theta - Time Decay

How much value does the option lose each day?

- Buyer's enemy, seller's friend
- ATM options have the highest theta
- Accelerates in the last 30 days
- Example: Theta = -$0.15 -> option loses $0.15/day (all else equal)

2.3 Vega - Volatility Sensitivity

How much does the option price change when IV moves 1%?

- High IV = expensive options (panic markets)
- Low IV = cheap options
- Sellers want high IV (collect more premium)
- Buyers want low IV (pay less)

WARNING: IV Crush: IV spikes before earnings, then collapses after. Don't buy options before earnings!

2.4 Gamma - Rate of Delta Change

How fast does Delta change when the stock moves $1?
ATM + near expiration = highest Gamma = most explosive price changes.
Sellers fear high Gamma (sudden large moves).

2.5 Greeks Quick Reference

```
  Want to profit from direction  -> look at Delta
Want to profit from time       -> look at Theta (seller strategies)
Want to profit from volatility -> look at Vega
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Control risk                    -> look at Gamma
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Chapter 3: Strategies You Can Use (Tier 1)

Strategy	Type	Risk Level
Buy Calls / Puts	Buyer	Medium (max loss = premium)
Sell Covered Calls	Seller	Low
Sell Cash-Secured Puts	Seller	Medium
Long Straddle / Strangle	Buyer	Medium

3.1 Sell Cash-Secured Put (CSP)

Your AVGO scenario: Want to buy at $300, current price $340

Action: Sell 1 AVGO $300 Put, 30-45 DTE
You collect premium immediately (e.g. $3/share = $300)

Two outcomes:
  AVGO > $300 at expiry -> option expires worthless, you keep $300 premium
  AVGO <= $300 at expiry -> assigned, buy 100 shares at $300 (effective cost ~$297)

How to choose contracts:
  Expiration: 30-45 DTE (optimal theta decay)
  Strike: Price you genuinely want to own the stock at
  Delta: -0.15 to -0.30 (15-30% chance of assignment)
  Collateral: Strike x 100 = $30,000 (cash or margin)

WARNING: Only sell puts on stocks you truly want to own. If AVGO drops to $200, you still buy at $300.

3.2 Covered Call (CC)

Prerequisite: Own 100+ shares of the stock

Action: Own 100 shares of XYZ -> Sell 1 OTM Call

Two outcomes:
  Stock < strike at expiry -> keep shares + keep premium
  Stock >= strike at expiry -> shares sold at strike + keep premium

Risk: Miss out on upside if stock rockets past your strike.
Best for: Stocks you think will stay flat or rise slowly.

3.3 Buy Call / Buy Put

Buy Call: Pay premium for the right to buy. Max loss = premium. Unlimited upside.
Buy Put: Pay premium for the right to sell. Max loss = premium. Profit when stock drops.

Key risks:
  - Theta eats your premium every day

- Even if you're right on direction, you can lose if the move is too slow
- Low win rate, high reward potential

3.4 The Wheel Strategy

The most suitable strategy for your investing style (long-term holder):

Step 1: Sell OTM Put at your target buy price
-> Not assigned? Repeat, keep collecting premium
-> Assigned? You now own 100 shares at your target price

Step 2: Sell OTM Covered Call on your shares
-> Not called away? Repeat, keep collecting premium
-> Called away? Shares sold at profit, go back to Step 1

You earn premium at EVERY stage of the cycle.

Chapter 4: Options Pricing Intuition

4.1 What Makes Options More Expensive?

Factor	Call Price	Put Price
Stock price UP	Higher	Lower
Stock price DOWN	Lower	Higher
Volatility UP (IV)	Higher	Higher
More time to expiry	Higher	Higher
Interest rates UP	Slightly higher	Slightly lower

4.2 IV Rank and IV Percentile

IV Rank: Where current IV sits in its 1-year range (0-100)

IV Rank > 50 -> IV is elevated -> good time to SELL options
IV Rank < 30 -> IV is low -> good time to BUY options

4.3 Implied vs Historical Volatility

```
  Implied Volatility (IV):    Market's EXPECTATION of future volatility
Historical Volatility (HV): Actual past volatility

IV > HV -> Options are 'expensive' -> Seller advantage
IV < HV -> Options are 'cheap'     -> Buyer advantage
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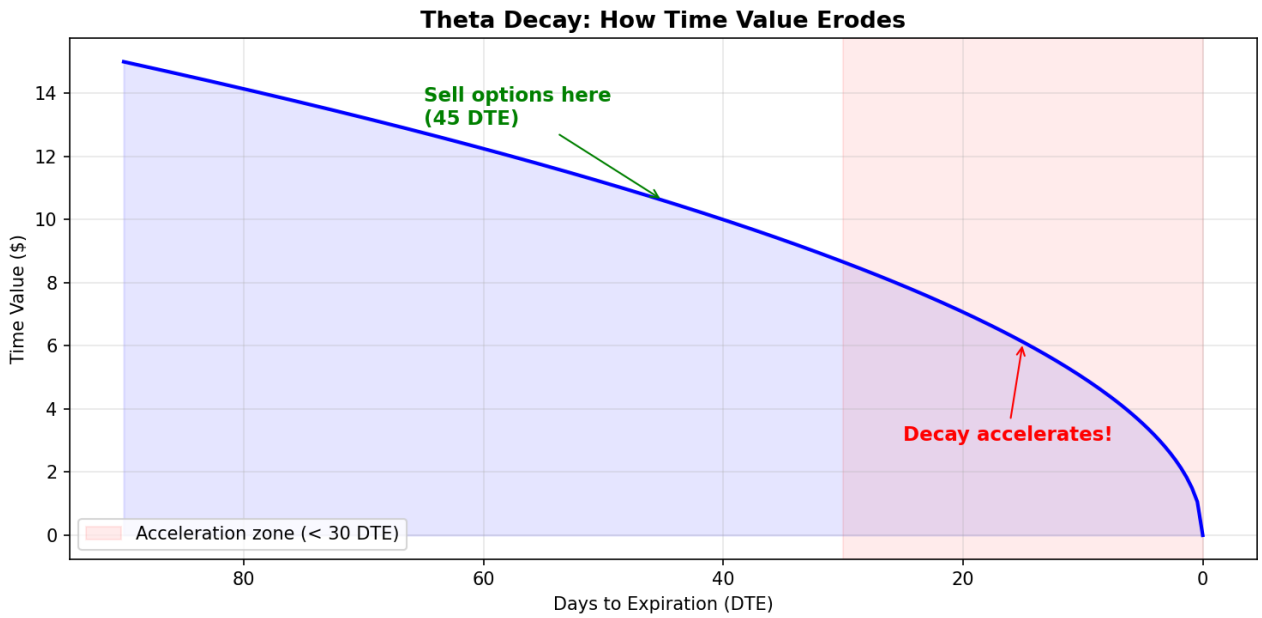
4.4 Theta Decay Curve

Time value erodes following a square-root curve - slowly at first, then rapidly in the last 30 days:



TIP: Sell options at 45 DTE to capture the steepest part of the decay curve.

Chapter 5: Practical Execution Guide

5.1 Placing an Order on Fidelity

1. Go to Trade -> Options
2. Enter ticker (e.g. AVGO)
3. Select Expiration Date (30-45 days out)
4. Select Strike Price
5. Select Action:
   Buy to Open (BTO) = open a new long position
   Sell to Open (STO) = open a new short position
   Buy to Close (BTC) = close an existing short position
   Sell to Close (STC) = close an existing long position
6. Order Type: Limit (recommended)
7. Price: midpoint between Bid and Ask
8. Preview -> Submit

5.2 Reading the Option Chain

```
            CALLS                                PUTS
 Last  Bid   Ask   Vol    OI  | Strike | Last  Bid   Ask   Vol    OI
 45.2  44.8  45.6  120  3400  |  $300  | 3.10  2.90  3.30   85  5200
 35.0  34.5  35.5   80  2100  |  $310  | 5.40  5.10  5.70   60  3800
```

Bid: Price you get when selling
Ask: Price you pay when buying
Volume: Today's trades (higher = better)
Open Interest (OI): Total open contracts (higher = more liquid)

Rule: Choose contracts with OI > 500 and tight bid-ask spread (<10%).

5.3 Your AVGO Put: Step by Step

```
  1. Trade -> Options -> AVGO
2. Expiration: ~30-45 days (e.g. 2026-03-20)
3. Strike: $300
4. Action: Sell to Open
5. Quantity: 1
6. Order Type: Limit
7. Price: Look at $300 put Bid (e.g. $3.00)
8. Preview -> Confirm margin requirement -> Submit

Result: Collect $300 ($3.00 x 100), then wait.
```

5.4 Close Early vs Hold to Expiration

Scenario	Action	Why
Premium dropped 50%+	Buy to Close	Lock in profit, reduce risk

Stock crashing toward strike	Buy to Close	Cut loss, avoid assignment
Near expiry, don't want shares	Buy to Close	Avoid being assigned
Happy to own at strike	Hold to expiry	Get assigned, start step 2

TIP: Close at 50% profit. Don't risk the remaining premium for marginal gain.

Chapter 6: Risk Management

6.1 Never Do These

1. Sell Naked Calls - unlimited loss potential (you don't have Tier permission anyway)
2. Go all-in on options - they can go to zero, only risk what you can lose entirely
3. Buy options before earnings - IV Crush will destroy your position
4. Trade illiquid options - OI < 100 means terrible fills and wide spreads
5. Sell puts on stocks you don't want - never sell puts just for premium

6.2 Position Sizing

```
  Rule: Single option trade risk <= 2-5% of account

Your Y Account ~$63,000:
  Max risk per trade: $1,260 - $3,150
  Selling 1 AVGO $300 put: max risk ~$30,000 (extreme case)
    -> 47% of account (high, but acceptable if you want to own AVGO)
```

6.3 Managing Assignments

When your put gets assigned:
- You now own 100 shares at the strike price
- Your cost basis = strike - premium collected
- Immediately sell a covered call to continue generating income
- Set a mental stop loss (e.g. sell if stock drops 20% below your cost)

Chapter 7: Tax Implications (US)

7.1 Capital Gains Tax Rates

Holding Period	Tax Rate
< 1 year (Short-term)	Ordinary income rate (22-37%)
> 1 year (Long-term)	Preferential rate (0/15/20%)

7.2 How Options Are Taxed

Scenario	Tax Treatment
Buy option -> expires worthless	Capital loss (deductible)
Buy option -> sell to close	Short-term capital gain/loss
Sell put -> expires	Premium = short-term gain
Sell put -> assigned	Premium reduces cost basis
Sell covered call -> expires	Premium = short-term gain
Sell covered call -> called away	Premium added to sale proceeds

WARNING: Most options income is short-term = taxed at your highest rate.

7.3 Wash Sale Rule

If you sell a stock at a loss and buy back substantially identical securities within 30 days, the loss is disallowed. Being assigned on a put can trigger this rule if you recently sold the same stock at a loss.

Chapter 8: Pre-Trade Checklists

8.1 General Options Checklist

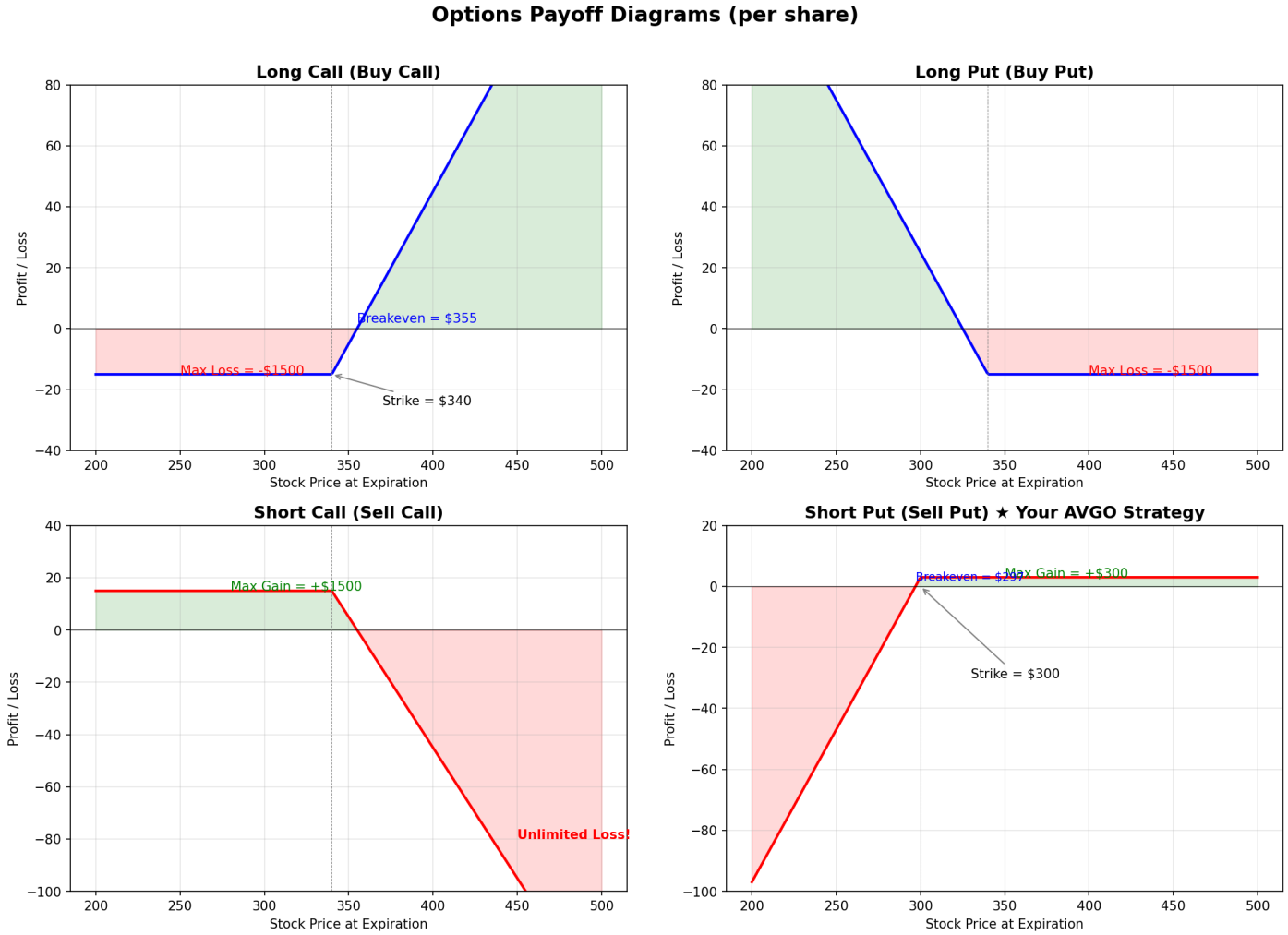
- Direction: What is my thesis on this stock? (Bullish / Bearish / Neutral)
- Strategy Match: Does this strategy align with my thesis?
- Max Loss: If completely wrong, how much do I lose? Can I handle it?
- Liquidity: OI > 500? Bid-ask spread < 10%?
- IV Level: IV Rank high or low? Am I buying or selling at the right time?
- Expiration: 30-45 DTE? Avoiding earnings dates?
- Position Size: Risk < 5% of account?
- Exit Plan: When do I take profit? When do I cut losses?

8.2 Sell Put Specific Checklist

- Do I genuinely want to own this stock at this strike price?
- Can I afford 100 shares if assigned? (Cash or margin capacity)
- If the stock drops 30%, would I still want to hold?
- Is there an earnings report before expiration? (Avoid if yes)
- Is IV elevated? (IV Rank > 30 is preferred for selling)

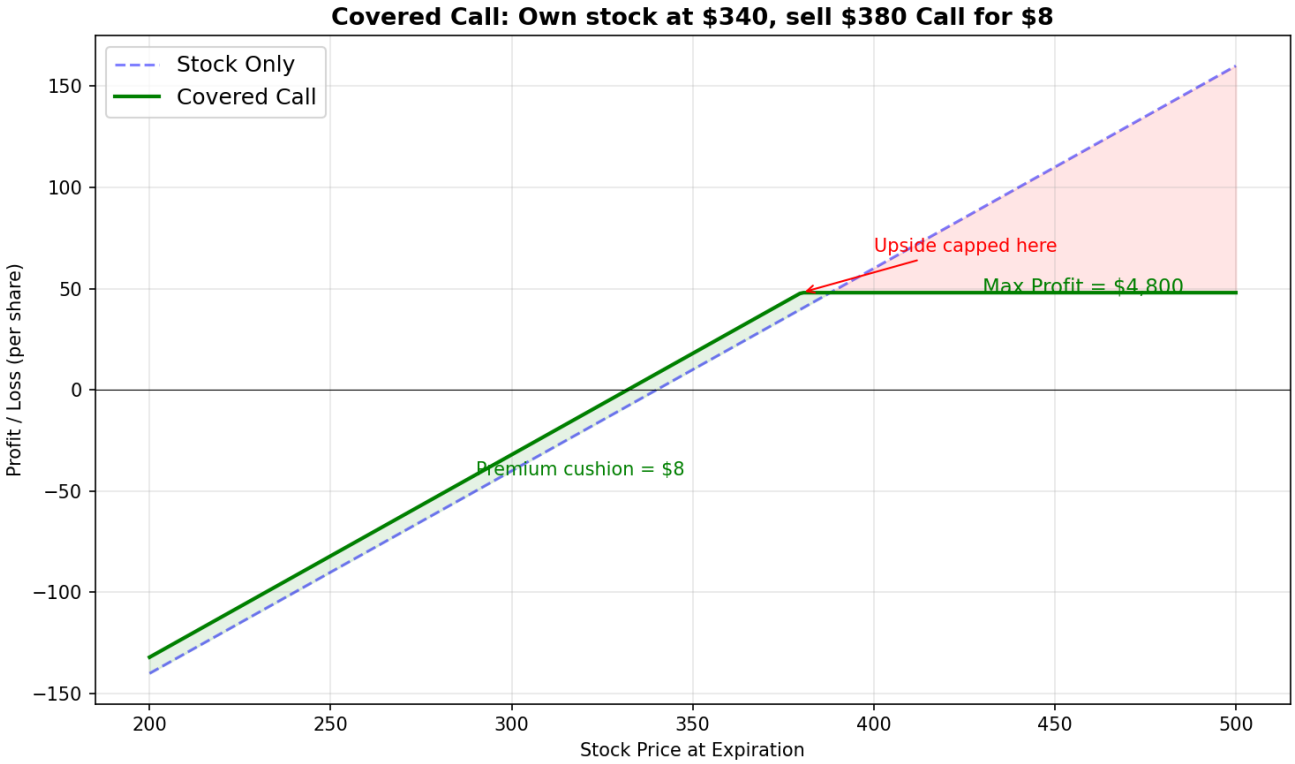
Appendix A: Payoff Diagrams

A.1 The Four Basic Options Payoffs



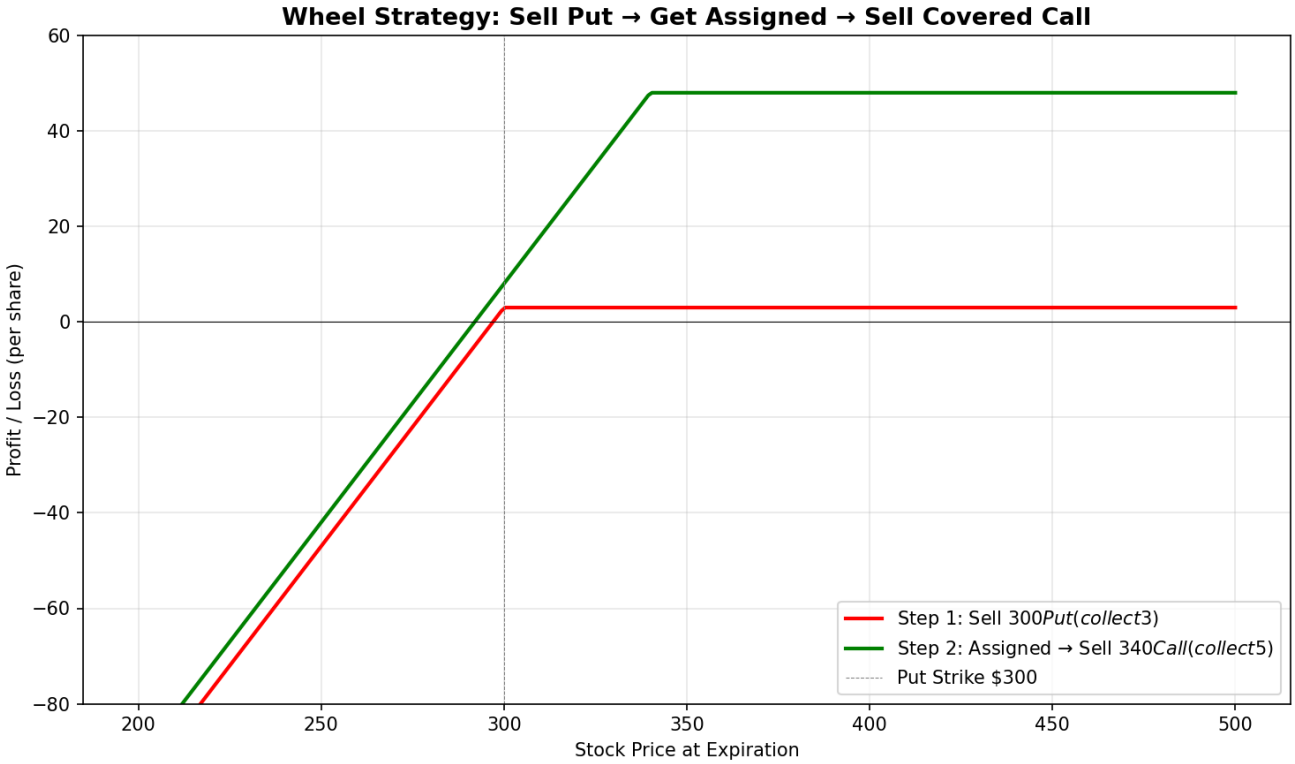
A.2 Covered Call vs Stock Only

Green line = covered call, blue dashed = stock only. The premium provides a small cushion on the downside, but caps your upside.



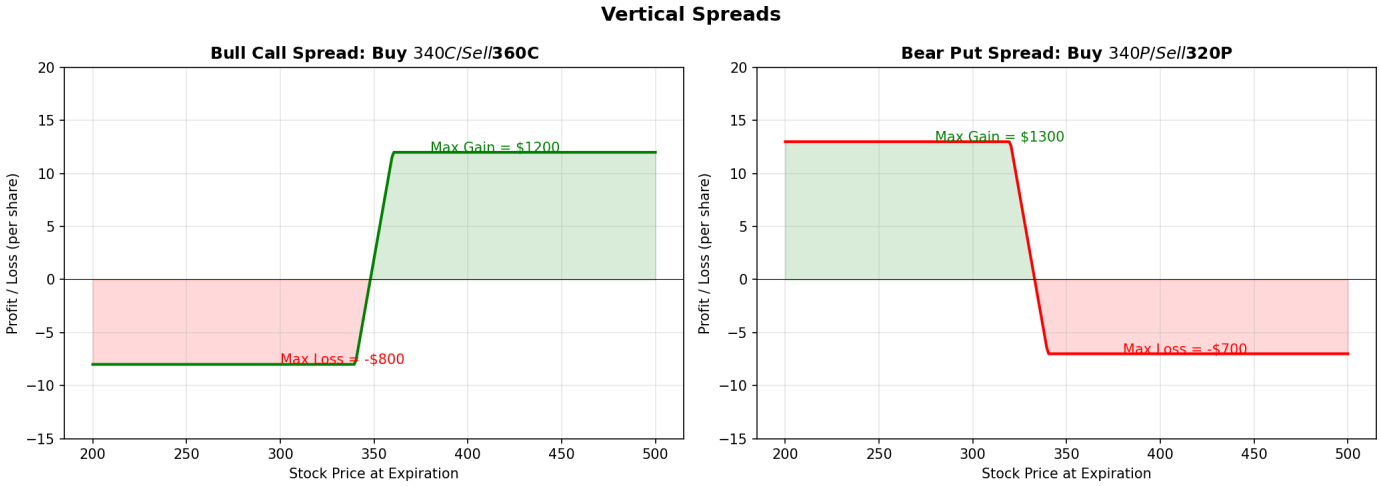
A.3 Wheel Strategy

Red = Step 1 (Sell Put). Green = Step 2 (Covered Call after assignment).


Wheel Strategy: Sell Put → Get Assigned → Sell Covered Call
Profit / Loss (per share)
Stock Price at Expiration
60
40
20
0
−20
−40
−60
−80
200
250
300
350
400
450
500
Step 1: Sell 300Put(collect3)
Step 2: Assigned → Sell 340Call(collect5)
Put Strike $300

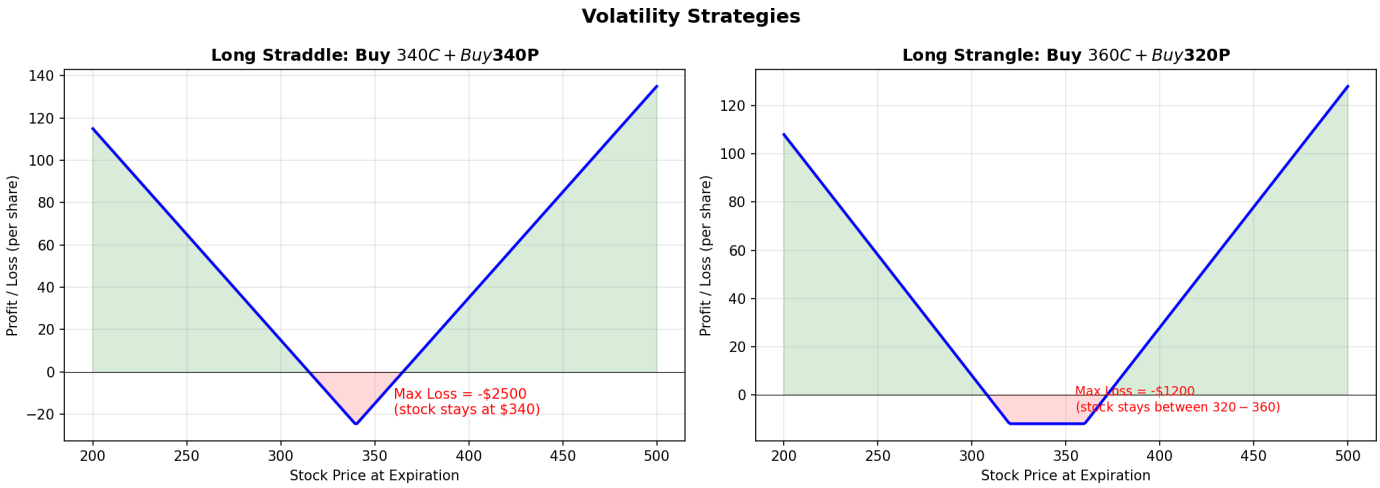
A.4 Vertical Spreads

Bull Call Spread (bullish, limited risk/reward) and Bear Put Spread (bearish, limited risk/reward).



A.5 Straddle and Strangle

Both profit from large moves in either direction. Straddle is more expensive but needs less movement.



Appendix B: Common Abbreviations

Abbrev.	Full Name	Meaning
BTO	Buy to Open	Open a new long position
STO	Sell to Open	Open a new short position
BTC	Buy to Close	Close an existing short
STC	Sell to Close	Close an existing long
CSP	Cash-Secured Put	Sell put backed by cash
CC	Covered Call	Sell call backed by shares
IV	Implied Volatility	Market-expected volatility
HV	Historical Volatility	Actual past volatility
OI	Open Interest	Total open contracts
DTE	Days to Expiration	Days until expiry
ATM	At The Money	Strike = stock price
ITM	In The Money	Option has intrinsic value
OTM	Out of The Money	No intrinsic value

Recommended Learning Path

```
Week 1:  Read Chapters 1-2. Browse option chains on Fidelity (don't trade yet)
Week 2:  Paper trade using thinkorswim or options profit calculator websites
Week 3:  First real trade: Sell 1 CSP on a stock you want to own
Week 4+: Review results. Learn Chapters 4-6. Add covered calls.
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